Report To Shareholders
Management's Discussion and Analysis

Financial Overview

Financial and operational highlights include:

- Adjusted earnings per share of $0.30 compared to $0.84 last year, as high wheat and fuel costs outpaced price increases
- Stabilization of commodity markets and pricing expected to improve earnings in the second half of 2008

Note: *Adjusted earnings per share measures are defined as earnings per share before restructuring and other related costs.*

High commodity prices continued to have a significant impact on the Company's margins and financial results. The average market price for wheat, in the quarter, was 116% greater than the prior year. Management believes these effects, while material, are short-term with improvements to come in the second half of the year as markets stabilize and the Company continues to pass on costs by way of price increases to offset the effects of commodity inflation.

Sales for the second quarter increased 16.4% to $437.4 million compared to the same period last year due to higher selling prices and contributions from acquisitions. Excluding acquisitions, sales increased by 8.9% compared to last year.

Earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") were $12.4 million for the second quarter compared to $34.0 million last year. High wheat, fuel and other input costs compressed margins as price increases implemented earlier in the year were not sufficient to cover these rapid cost increases. Management anticipates that a decrease in wheat prices from new crops, due to be harvested in August, and improved supplies will lower costs toward the end of the year and restore margins. As the rest of the year progresses, any further inflationary increases, such as energy, or unanticipated increases in the cost of wheat will be managed by further price increases.

Net earnings before restructuring and other related costs for the quarter were $7.5 million ($0.30 per share), compared to $21.2 million ($0.84 per share) last year. Year-to-date earnings per share, on a comparable basis, were $0.81 compared to $1.60 last year.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	Second Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Net Earnings	**$ 6.5**	$ 21.2	(69.2)%	**$ 18.7**	$ 39.1	(52.1)%
Restructuring and other related costs, net of tax	**1.0**	—	— %	**1.9**	1.5	26.9 %
Net earnings before restructuring and other related costs (i)	**$ 7.5**	$ 21.2	(64.5)%	**$ 20.7**	$ 40.6	(49.2)%
Adjusted EPS (i)	**$ 0.30**	$ 0.84	(64.5)%	**$ 0.81**	$ 1.60	(49.2)%

(i) *These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Second Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Fresh Bakery	**$ 12.5**	$ 25.8	(51.7)%	**$ 25.1**	$ 47.8	(47.4)%
Frozen Bakery	**(0.1)**	8.2	(100.7)%	**6.8**	16.2	(58.0)%
	$ 12.4	$ 34.0	(63.5)%	**$ 31.9**	$ 64.0	(50.1)%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the second quarter increased by 17.8% to $287.6 million compared to $244.2 million last year, largely due to price increases and contributions from acquisitions partly offset by reduced volumes. Excluding acquisitions, sales increased by 11.5% compared to last year.

Adjusted Operating Earnings for the quarter were $12.5 million compared to $25.8 million last year. This decline was driven by margin compression as price increases for fresh bread and pasta were not enough to cover the increase in wheat and other commodity costs. In addition, costs related to marketing and innovation in Fresh Bakery were higher than last year by 33.6%. During the quarter, the Company launched its *Smart* 100% Whole Grain Wheat bread nationally and also launched *Smart* snack cakes in Eastern Canada.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales increased by 13.8% to $149.8 million from $131.6 million last year. This was a result of increased prices and contributions from acquisitions, partly offset by translation difference related to the weaker U.S. dollar. Excluding acquisitions, sales increased by 4.0% compared to last year.

Adjusted Operating Earnings for the quarter were a loss of $0.1 million compared to earnings of $8.2 million last year as a result of lower earnings in the North American frozen bakery operations, driven by wheat and other inflationary cost increases, including energy, that were not fully offset by price increases. These effects were partly offset by cost reductions related to operational and sales mix improvements. Earnings in the U.K. operations continue to track ahead of last year, benefiting from the contribution of acquisitions in new product categories. Bagel growth rates were slower in the first half of the year as production was curtailed in the Company's U.K. bagel plant due to an oven fire. Growth rates are expected to improve in the second half of the year as production rates and advertising and promotion activities will be restored in July 2008.

The North American frozen bakery operations are implementing changes to increase capacity utilization and improve margins. This includes the closure of a bagel facility in Toronto and the transfer of production to other regional plants. An expansion at the Company's Roanoke Virginia plant is also expected to be commissioned through the second half of 2008, improving product costs and reducing freight and distribution costs to supply regional customers.

Gross Margin

Gross margin decreased by $16.1 million to $64.0 million from $80.1 million last year. Margin compression was driven by the increase in wheat prices, fuel and general inflation.

SG&A

Selling, general and administrative expenses increased 12.0% to $51.6 million compared to $46.1 million for the prior year. This increase was primarily driven by increased costs related to investments in innovation and marketing new products.

Other Income

Other income for the second quarter was $1.5 million, mainly due to insurance proceeds which partially reimburse the Company for excess operating costs incurred as a result of an oven fire at the U.K. bakery.

Restructuring and Other Related Costs

During the second quarter of 2008, the Company recorded a charge for restructuring and other related costs of $1.4 million (2007: $nil) and year-to-date, restructuring charges were $2.7 million (2007: $2.2 million). The restructuring costs in the quarter are related to the planned closure of a bagel facility in Toronto that is scheduled to occur in the second half of 2008.

Cash Flow and Financing

Cash flow from operating activities was $13.2 million for the second quarter compared to $37.2 million last year. The primary cause of this decrease is reduced net earnings and an increased investment in working capital. The main drivers for the increase in working capital are accounts receivable due to increased sales and inventory due to higher wheat costs. Year-to-date cash flow from operating activities was $13.8 million compared to $57.2 million last year.

Interest expense for the second quarter increased to $2.1 million compared to $1.4 million last year. The variance was driven by a decline in interest income generated by the Company's five-year cross-currency swap, which matured and was settled on January 1, 2008. This settled swap generated interest income of $1.3 million in the second quarter of 2007. The decline in interest income was partially offset by a decrease in interest expense as a result of reduced debt levels. Year-to-date interest expense was $3.8 million compared to $2.6 million last year.

The Company's debt facility will expire in December 2008 and is expected to be renewed in the third quarter.

Capital expenditures on plant and equipment for the second quarter were $17.2 million compared to $30.9 million last year.

Taxes

The Company's effective tax rate increased to 37.4% compared to 34.7% last year. This increase in rates was primarily driven by a change in the proportion of earnings attributable to higher tax rate jurisdictions partly offset by a decrease in the Canadian Federal tax rates enacted in December 2007.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the six interim periods ended June 30, 2008 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2008**	$ 382,869	**$ 437,418**			**$ 820,287**
	2007	358,337	375,723	$ 385,849	$ 393,270	1,513,179
Net earnings	**2008**	$ 12,211	**$ 6,538**			**$ 18,749**
	2007	17,910	21,225	$ 21,087	$ 23,529	83,751
Earnings per share						
Basic EPS	**2008**	$ 0.48	**$ 0.26**			**$ 0.74**
	2007	0.70	0.84	$ 0.83	$ 0.93	3.30
Adjusted EPS [(i) (ii)]	**2008**	$ 0.52	**$ 0.30**			**$ 0.81**
	2007	0.76	0.84	$ 0.83	$ 0.88	3.31
Diluted EPS	**2008**	$ 0.48	**$ 0.26**			**$ 0.74**
	2007	0.70	0.84	$ 0.83	$ 0.93	3.30

(i) *Earnings per share before restructuring and other related costs and certain non-recurring tax adjustments.*
(ii) *Does not add due to rounding.*

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

In January 2006, the Accounting Standards Board (the "AcSB") announced its decision to require all publicly accountable enterprises to report under International Financial Reporting Standards ("IFRS") for years beginning on or after January 1, 2011. As a result, financial reporting by Canadian publicly accountable enterprises will change significantly from current Canadian GAAP to IFRS.

On February 13, 2008, the AcSB confirmed that publicly accountable enterprises will be required to use IFRS, as issued by the International Accounting Standards Board, unless modifications or additions to the requirements of IFRS are issued by the AcSB. IFRS must be adopted for interim and annual financial statements related to fiscal years beginning on or after January 1, 2011, with restatement of comparative periods.

The Company is currently assessing the future impact of these new standards on its consolidated financial statements.

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031 "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international accounting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

In 2006, the Accounting Standards Board issued CICA Handbook Section 3862 "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861 "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008.

Other Matters

On July 23, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on October 1, 2008 to shareholders of record on September 8, 2008. Unless indicated otherwise, by the corporation, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from

what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

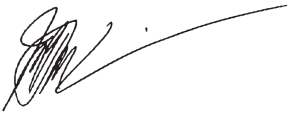
Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis for the year ended December 31, 2007 which is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

July 24, 2008